

TRADER JOE'S

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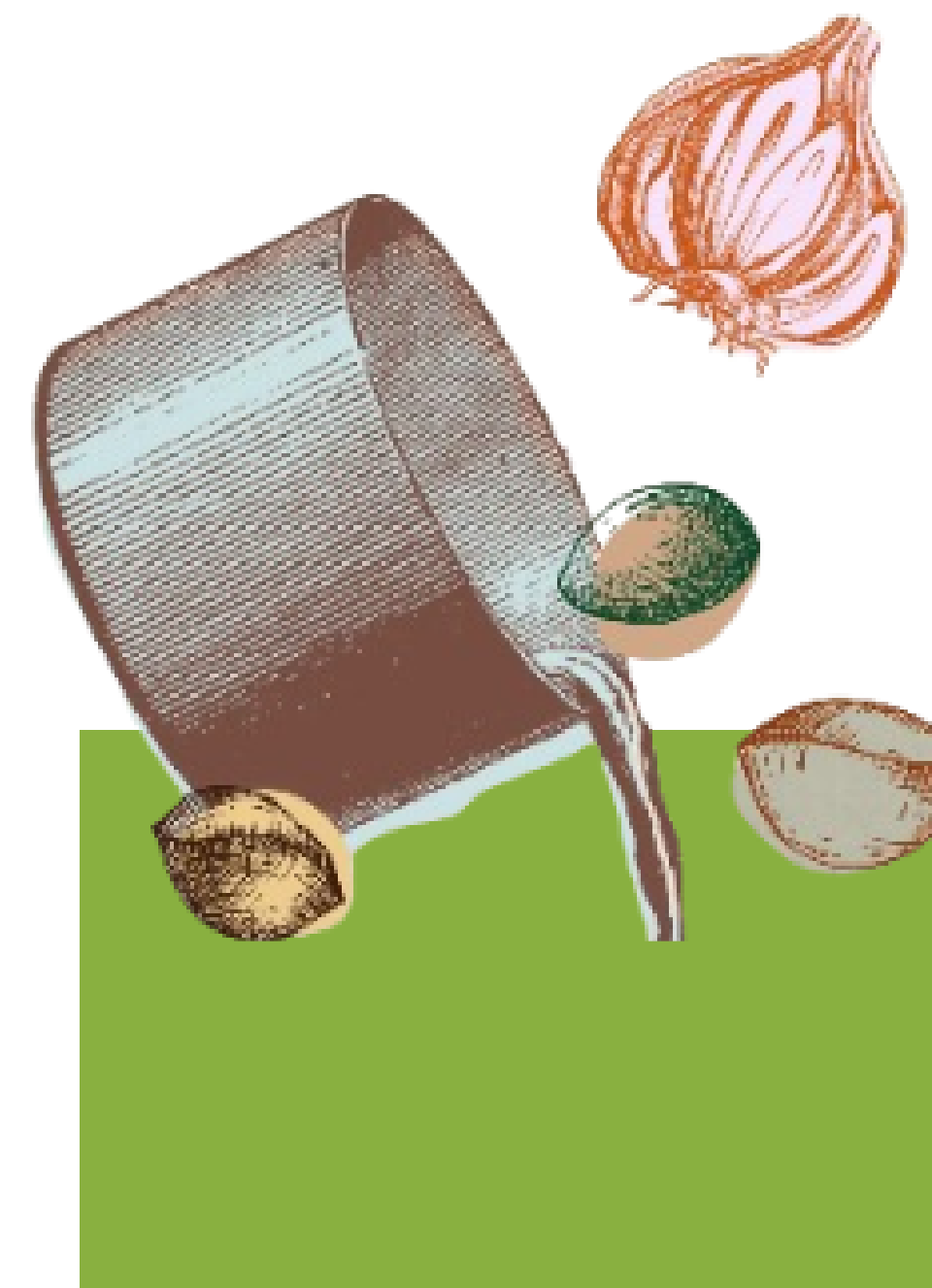


Group 2
MKTG 612 Marketing Analytics
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Professor: Ya You



Background

- The grocery market is highly competitive, with retailers improving quality, organic offerings, and private-label value.
- Trader Joe's has built a strong "affordable premium" identity through unique products, quality, and a curated store experience.
- However, competitive growth from Whole Foods (health), Walmart/Target (value + convenience), and Costco (bulk value) raises the need to assess whether Trader Joe's positioning remains clearly differentiated.





Research Question, Problem & Objectives

Research Question

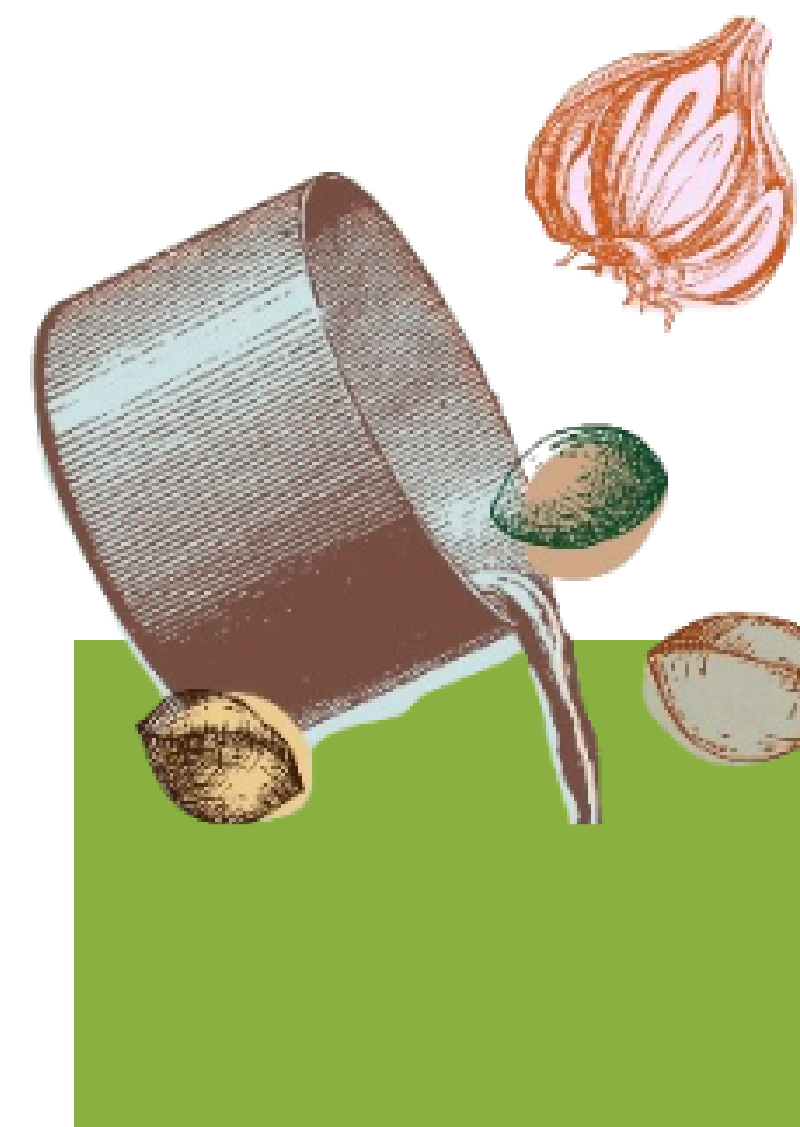
How is Trader Joe's positioned in consumers' minds compared to key competitors, and what repositioning opportunities exist?

Research Problem:

- Trader Joe's faces pressure from both value-driven retailers (Walmart, Target, Costco) and health-oriented competitors (Whole Foods).
- It is unclear how consumers currently perceive Trader Joe's across key dimensions like value, quality, healthiness, uniqueness, and convenience.
- Understanding these perceptions is essential for identifying potential repositioning opportunities.

Research Objective:

- Measure consumer perceptions of Trader Joe's vs. competitors.
- Map brand proximity and positioning using perceptual mapping.
- Identify key drivers of store preference.
- Uncover gaps between what consumers value and how they view Trader Joe's.





Research Methods

✓ Method

Consumer Survey & Analysis: Used a Qualtrics survey (multiple-choice & Likert) and Enginius analytics to map Trader Joe's vs. competitors, showing brand similarity and key drivers of choice

✓ Sample Size

Convenience sample of ~71 grocery shoppers (mixed ages) recruited via personal networks, and direct outreach, all familiar with at least one competitor (Whole Foods, Walmart, Costco, Target, etc.)

✓ Limitations

Convenience sample and self-reported data limit generalizability, and results may be influenced by sample size and regional store availability.





Survey Data Collected

✓ Shopping Behavior

- Grocery shopping frequency
- Stores shopped in last 3 months
- Trader Joe's familiarity

✓ What Shoppers Care About

Importance of price, quality, healthiness, convenience, variety, etc.

✓ Trader Joe's Choice Drivers

- Why they choose Trader Joe's
- Why they don't choose it more often
- Likelihood to recommend (NPS)

✓ Demographics

25-34, 2-3 people households, monthly grocery spend about \$250-\$499

✓ Brand Perceptions

Rated Trader Joe's + key competitors on:

- Product Quality
- Value for Money
- Healthiness
- Variety
- Convenience





Dimension Analysis

Findings and Marketing Insights

Dimension Analysis:
With 92.1% of the variance explained by the **first two** dimensions, the results provide a highly reliable representation of consumer perception differences.

Dimensions

Number of dimensions retained

You have decided to display the first 2 dimensions, which account for a total of 92.1% of the variance in the data.

	Variance explained	Cumulative variance
Dimension 1	61.1%	61.1%
Dimension 2	31.0%	92.1%
Dimension 3	6.6%	98.7%
Dimension 4	0.9%	99.6%
Dimension 5	0.4%	100.0%

Variance explained. Variance and cumulated variance explained, by dimension.



Interpretation of Dimensions

Findings and Marketing Insights

Dimension I: Value Orientation vs. Quality/Health Orientation

- Emphasizes affordability, price competitiveness, and convenience.
- Retailers on this end are perceived as providing economic value, ease of access, and practicality rather than luxury or specialization.
- Highlights product excellence, uniqueness, health-conscious assortments, and organic offerings.
- Retailers on this end appeal to consumers who value high standards, healthiness, and diverse selection over price.

Coordinates

	Dimension I	Dimension II
Product Quality	-0.876	0.264
Value for Money	-0.295	-0.688
Healthiness & Organic Options	-0.716	0.697
Product Variety	-0.851	0.177
Convenience	-0.342	-0.617

Attributes coordinates. Displays the coordinates of all the attributes in every dimension.

Summary

	Dimension I	Dimension II
3	Healthiness & Organic Options	
4	Product Variety	
5	Product Quality	

Dimension interpretation. Displays the names of the attributes most aligned with each dimension.



Interpretation of Dimensions

Findings and Marketing Insights

Dimension II: Health and Quality Orientation vs. Value and Convenience Orientation

- Represents premium, health-conscious, and quality-focused retailers. Consumers associate these brands with nutritious, organic, and high-standard products, but typically at higher prices and with less focus on convenience.
- Reflects value-oriented and convenience-focused retailers. These brands prioritize price competitiveness and shopping ease rather than premium health or quality perceptions.

Coordinates

	Dimension I	Dimension II
Product Quality	-0.876	0.264
Value for Money	-0.295	-0.688
Healthiness & Organic Options	-0.716	0.697
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Summary

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Trader Joe's Current Positioning

Findings and Marketing Insights

Perceptual Map Insights

- Two dimensions explain 92.1% of total variance.

Dimension 1: Value for Money

- Captures perceptions of affordability, price sensitivity, and convenience.

Dimension 2: Health / Organic Orientation

- Reflects emphasis on natural, organic, and health-driven offerings.

Segment I (Wellness Prioritizers): Harder to extend

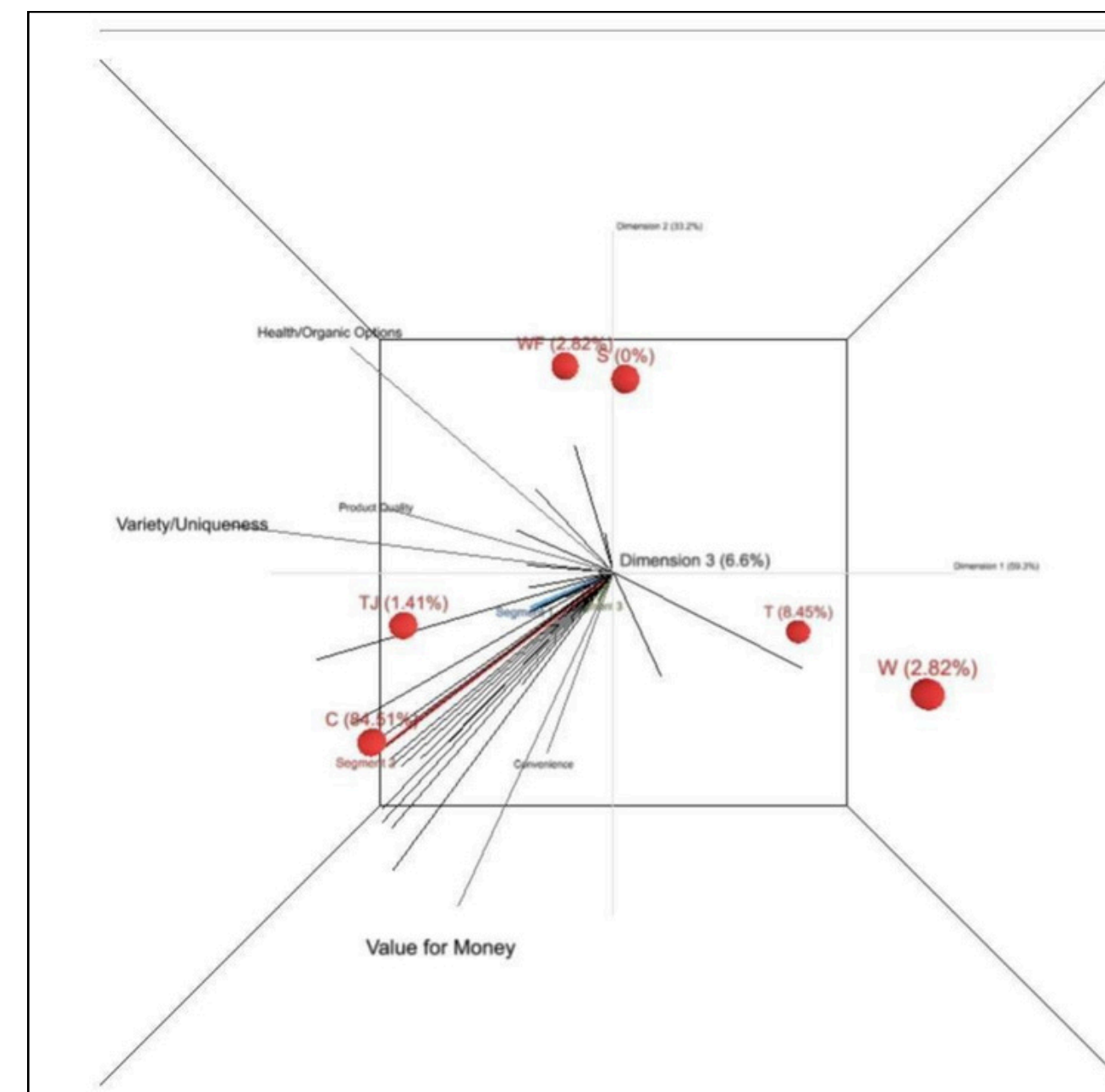
- Customers expect a unique combination of innovation, high quality, and health-focused offerings that require significant brand credibility and product differentiation.

Segment II (Budget Maximizers): Possible to extend

- Value-focused shoppers prioritize price-performance balance, but doing so requires strong operational efficiency and careful positioning to avoid diluting the brand.

Segment III (Convenience Seekers): Easiest to extend

- Convenience-driven expectations can be met through operational and service enhancements without requiring major changes to brand identity or product strategy.





Trader Joe's Repositioning Strategy

Findings and Marketing Insights

✓ Streamline the In-Store Experience

- Optimize store layout for faster navigation.
- Improve signage and wayfinding.
- Add self-checkout, scan-and-go, or express lanes.
- Reduce queue times through better staffing and flow management.

✓ Reinforce Convenience in Communications

- Lead messaging with speed, ease, and time savings.
- Promote short wait times and fast pickups.
- Emphasize “quick trip” benefits in ads and in-store signage.

✓ Expand Convenience-Driven Services

- Offer curbside pickup and same-day delivery.
- Provide scheduled pickup windows.
- Partner with delivery platforms or enhance last-mile capability.
- Ensure fast, predictable turnaround times.

✓ Maintain Core Strengths

- Preserve product quality and curated selections.
- Use these as supporting messages, not primary.
- Position convenience as the main differentiator moving forward.

✓ Simplify the Assortment

- Create “quick grab” sections near entrances.
- Introduce ready-to-cook kits and meal bundles.
- Organize products for easy, rapid decision-making.
- Highlight essential items and bestsellers for quick trips.





Repositioning Statement

Findings and Marketing Insights

Segment III (Convenience Seekers)

“For convenience-driven shoppers, the brand is the fastest and easiest place to complete a shopping trip because it offers streamlined store layouts, quick checkout options, and reliable pickup and delivery services.”





Thank You!



Any Questions?

